LEXSKILL AI

AI-Powered Practical Legal Skills
Infrastructure for Law Schools

Business & Feasibility Study

A sceptical, evidence-based test of whether this business should exist.
Classification: VALIDATE FIRST

PREPARED FOR

Founders
Institutional Partners
Investors
Law Schools
Legal Professionals

DATE

September 2026

VERSION

1.0

Evidence tags: [FACT] [EST] [ASSUMP] [INFER] [CO. CLAIM] [OPINION]. Unverified items are marked "Not independently verified". Financial figures are scenario assumptions, not forecasts. Not legal or investment advice.

READ THIS FIRST

For a non-technical legal professional. One page.

The idea. LexSkill AI would sell software to law schools that helps teachers mark practical work (drafting first), checks whether the cases students cite are real and support their point, and shows the Dean where a batch is strong or weak. The teacher makes every final decision; the AI is a first reader.

Is there a real problem? Partly. Indian law programmes already require practical courses [FACT][S1] and the Supreme Court has just made fake AI citations a professional-misconduct issue [FACT][S4][S5]. That gives a genuine reason for law schools to teach and test verification. But we found **no direct evidence yet that institutions feel assessment and analytics pain strongly enough to pay for it** [NOT VERIFIED].

Is the technology feasible? Yes for a narrow first version. A peer-reviewed US study found AI marks tracked professors' marks closely when rubrics were detailed (correlation up to 0.93) [FACT][S9]. Checking citations is harder because it depends on access to reliable Indian legal sources; that access is the main technical unknown [INFER].

Is the market big enough? On our estimates, only for a modest business. India has roughly 1,700 to 2,000 law colleges [FACT][S1][S22], but we estimate only about 400 (range 300-600) are realistic buyers [ASSUMP]. At realistic prices of Rs 2-5 lakh a year, that is about Rs 8-20 crore of annual revenue if we won *every* realistic buyer. Rs 100 crore of recurring revenue is not achievable from Indian law schools alone [INFER]. Larger outcomes would need other customers (firms, bar-exam and judicial-exam training) or other countries, none of which is yet evidenced.

Can four founders build it? A narrow version in 60 to 90 days, yes, if they resist building anything else. The commercial risk, not the technical risk, is what decides success.

Competition. Big legal-research vendors (SCC Online, Manupatra) are adding AI [CO. CLAIM][S14][S16]; Harvey now gives law schools free access in several countries [FACT][S12]. None was found selling a faculty-controlled assessment-and-analytics layer to Indian law schools, but our search was limited [NOT VERIFIED].

Recommendation: VALIDATE FIRST

Do not build a full product yet. Spend 14 days testing whether institutions will pilot and pay, and 60-90 days building only drafting assessment, citation checking, faculty review and a basic dashboard. Continue only if pre-stated pass criteria are met (Part AK). If institutions like the idea but will not pay, change the customer or price; if faculty see no time saving, stop.

Part A. Executive Summary

Question	Answer	Evidence / status
1 What is LexSkill AI?	Institutional layer for practical legal-skills assessment: rubric-based tasks, AI first-pass evaluation, citation verification, faculty review, skill profile, cohort analytics	Product definition (see PDR)
2 What problem?	Practical-skills marking is slow, inconsistent and unaggregated; authority verification is not systematically tested	Partly evidenced [FACT][S1][S4]; institutional pain unvalidated [ASSUMP]
3 Who has it?	Faculty (workload), Deans/heads (no cohort view), students (late feedback), placement cells (weak evidence)	Inference [INFER]; no interviews yet
4 Why now?	Courts penalise fake AI citations; law schools abroad are rewriting assessment for the AI era	[FACT][S4][S5][S13]
5 Why is AI useful?	Fast first-pass marking against detailed rubrics; scalable citation checks	Correlation up to 0.93 with professors on US exams [FACT][S9]
6 Different from ChatGPT?	Adds rubric governance, verification against sources, faculty review workflow, audit trail, records and analytics; the raw intelligence is not the differentiator	[OPINION]
7 Different from legal databases?	Databases serve research; LexSkill serves assessment and records. Databases may extend into it	[INFER]
8 Why would a school pay?	Faculty time saved; outcome evidence for accreditation (NAAC law fee is Rs 6 lakh [FACT][S1]); integrity and AI-readiness	Hypothesis; unproven [ASSUMP]
9 Initial product?	Drafting assessment + AI evaluation + citation check + faculty review + basic profile and dashboard	See Part P
10 Business model?	Annual institutional SaaS with paid pilot; optional implementation fee	Part R
11 Market?	TAM about Rs 34-40 crore at Rs 2L over 1,700-2,000 colleges; realistic SAM Rs 8-20 crore; 3-year SOM Rs 1.4 crore ARR (base)	Parts J, W [EST][ASSUMP]
12 Biggest risks?	No willingness to pay; long public procurement; small market; faculty trust; substitution by free AI and by incumbents	Part AI
13 Missing evidence?	Interviews with Deans/faculty; pilot agreement data; Indian source-licensing terms; Indian AI-marking accuracy	Part AK
14 Next?	14-day validation; then 60-90 day MVP for 2-3 pilots	Parts AK, AM

Investment / Build Recommendation: VALIDATE FIRST

Based on evidence: technology feasible in narrow form; timing supportive; commercial case unproven and India-only ceiling modest. This is a classification, not a score.

Part B. The Problem

What is already working

- A regulatory design that includes practical courses: drafting, pleading, conveyancing, ethics, ADR, moot court and internship; clinical education is required by BCI rules [FACT][S1].
- Leading institutions with moot courts, legal-aid clinics and research centres; the BCI told Parliament that NLUs and IIULER Goa emphasise experiential learning [FACT][S1].
- Growing demand: 72,631 CLAT-UG test takers in 2025 [FACT][S24].

What is broken or fragmented

- Uneven quality and curricula across roughly 1,700 institutions; unevenness among graduates noted by the Standing Committee [FACT][S1].
- Faculty shortages and limited research and infrastructure outside a few institutions [FACT][S1].
- Law institutions are slow to seek accreditation and struggle to evidence quality because of weak record-keeping [FACT][S1].

- The Committee recommends a much larger practical component, mandatory apprenticeship and legal-tech exposure [FACT][S1]. This raises assessment load.

Is there an assessment / measurement gap?

The research supports a **plausible** gap: practical exercises are required; institutions differ widely; faculty are scarce; outcome evidence is weak. It does **not** prove that institutions experience marking or analytics as a top pain. We found no survey of Indian law faculty on assessment workload and no published Indian benchmark of practical-skills scores [NOT VERIFIED]. The gap is therefore classified INFERENCE. Everything that follows depends on testing it.

Stakeholder	What is difficult	Basis
Faculty	Marking many drafts/memorials; consistency between markers; giving detailed feedback	Inference; faculty shortage [FACT][S1]
Deans / heads	No comparable view of skills by cohort; accreditation evidence	Accreditation record-keeping issue [FACT][S1]; rest inference
Placement cells	Weak evidence of practical readiness beyond grades and internships	Inference; unvalidated
Students	Late, thin feedback; unclear standards	Inference
Institution	Cost of expert marking; integrity in the AI era	Inference; [S13] shows peers rethinking assessment

Part C. Pain Point Matrix

#	Problem	Affected	Frequency; current workaround	Sev.	Evidence	Existing solution; remaining gap	Willingness-to-pay hypothesis
1	Slow marking of drafts/memorials	Faculty	Each assessment; Sampled marking; rubric-light	High	Inference; faculty shortage [S1]	None specific found; gap: First-pass + rubric consistency	Medium: time-saving
2	Inconsistent marking across sections	Dean, students	Each cycle; Moderation meetings	Med	Inference	Manual moderation; gap: Calibrated rubric scoring	Low-Med
3	Fake or unsupported citations	Faculty, students	Each research task; Manual checking	High	[FACT][S4][S5] courts	Databases (manual); gap: Automated checks in teaching workflow	Medium: timely
4	No cohort-level skills view	Dean	Semester; Marks registers	Med	Inference	LMS grades only; gap: Skill-level analytics	Low-Med
5	Accreditation outcome evidence	Dean, registrar	Cycle (5 yr); Manual compilation	Med	[FACT][S1] record-keeping	NAAC process; gap: Structured evidence	Low
6	Feedback arrives late / thin	Students	Each task; Peer review	Med	Inference	Faculty comments; gap: Instant formative feedback	Low (student-paid unlikely)
7	AI-authored take-home work	Faculty, Dean	Rising; Ban / oral exams	High	[FACT][S13] abroad	Detectors (weak); gap: Process-tracked and supervised modes	Medium
8	Scaling clinical/practical courses	Institution	Ongoing; Limited seats	Med	[FACT][S1] recommends expansion	Faculty time; gap: Tool support for load	Low-Med
9	Placement readiness evidence	Placement cell	Annual; CV, interviews	Low-Med	Inference	Coaching firms; gap: Skill evidence	Low (unvalidated)
10	AI-literacy expectation	Dean, BCI	Rising; Add electives	Med	[FACT][S1] tech recs	Courses; gap: Tools for practising verification	Low-Med
11	Faculty rubric development	Faculty	Per course; Ad hoc	Low	Inference	Templates; gap: Rubric libraries	Low

Top 3 problems worth solving

- **1. Fake / unsupported citations (No. 3).** Externally validated, urgent, teachable and objectively checkable. It is the strongest wedge.

- **2. Slow, inconsistent marking of drafts (Nos. 1-2).** Direct faculty benefit, supported by AI-marking research [S9]; needs Indian calibration.
- **3. Assessment integrity in the AI era (No. 7).** Institutions abroad are already redesigning assessment [S13]; Indian institutions likely to follow [INFER].

Analytics for Deans (No. 4) and placement intelligence (No. 9) are downstream: they need data from the first three and are not the reason to buy on day one [OPINION].

Part D. Product Modules: What to Build and What Not To

Module	Value	Complexity	Competition	Importance	Verdict
Drafting assessment	High	Med	Consumer tools (FIRAC-type) [CO. CLAIM][S25]; none institutional found [NOT VERIFIED]	High	MVP
AI faculty evaluation	High	Med-High	General LLMs; feasible by faculty alone [S9]	High	MVP
Citation verification	High	High (sources)	Research databases	High	MVP (narrow)
Legal research assessment	Med	Med-High	Databases with AI [S14][S16]	Med	Month 4-6
AI viva	Med	High (speech, voice data, bias)	None found in India [NOT VERIFIED]	Med	Year 2 only if demanded
Moot simulation	Low-Med	High	University and firm projects [S29][S30]	Low	Do not build
Client-interview simulation	Low-Med	High	Unknown [NOT VERIFIED]	Low	Do not build
Student skill profile	Med	Low-Med	LMS	Med	MVP (basic)
Faculty dashboard	Med	Low	LMS	Med	MVP
Institutional analytics	Med	Med	LMS analytics	Med	MVP (basic)
Placement intelligence	Unknown	Med; validity risk	Coaching platforms	Low now	Do not build (no predictive claims)
Institutional reporting	Med	Low-Med	Manual	Med	MVP export

Ruthless view. Six of twelve modules should not be built before evidence of demand. The product is three things done well: draft marking, citation checking, faculty review.

Parts E-I. Workflows, Technology, AI, Safety and Human Oversight (Summary)

Full workflow diagrams, the architecture and the AI evaluation design are in the companion **Product & Institutional Development Report** (Parts 5, 7-10). This study adds the feasibility judgement.

Technical feasibility

- **Frontend/backend/database:** conventional web stack; no unusual engineering. Risk is low for a competent CTO [OPINION].
- **LLM layer:** use a provider-agnostic gateway, structured outputs and pinned versions; cost per evaluation is our assumption of about Rs 12 [ASSUMP], to be measured in a prototype.
- **Evaluation engine:** rubric-by-rubric scoring with evidence quotes and abstention. Strong published agreement (up to 0.93 correlation) is from US exams with detailed rubrics [FACT][S9]; Indian drafting tasks are untested [NOT VERIFIED].
- **Citation verification:** the hardest component. Existence checks depend on legal sources. Free official sources vary in coverage and format; commercial databases (SCC Online, Manupatra) have unreviewed licence terms and are also potential competitors [NOT VERIFIED][INFER].
- **Security and privacy:** standard controls; the DPDP Rules impose main duties from 14 May 2027 [FACT][S3].

AI safety risk register

Risk	Sev.	Prob.	Mitigation	Policy needed	Technical control
Hallucinated feedback	High	Med	Evidence quoting; abstention; faculty review	No unreviewed AI mark released	Schema validation; quote-in-text check
Fake / fabricated citations in submissions	High	High	Verification pipeline	Citation standard in rubric	Extract-lookup-compare; status labels
Outdated law	High	Med	Retrieve current text; date-stamped sources	Faculty responsible for legal correctness	Source versioning; freshness flag
Verification failure (false "verified")	High	Low-Med	Seeded fake-citation tests before go-live	Pilot gate	Regression suite
Grading bias (language, style, region)	Med-High	Med	Bias audits by cohort; faculty override	Fairness review each term	Per-group agreement monitoring
Student AI cheating	High	High	Supervised / process-tracked modes	Institutional AI policy	Editor revision logs
Plagiarism	Med	Med	Faculty-run similarity via institutional tools	Follow UGC policy where applicable [S21]	Optional integration
Detector false accusations	High	Med	No AI-text detector	Policy: indicators only	Not built
Student data / privacy	High	Med	Minimisation; encryption; isolation	DPA; retention; consent	RBAC; audit logs
Voice recordings	High	n/a MVP	Not collected in MVP	Separate consent policy	Excluded
Confidentiality of student work	Med	Low-Med	No training on institution data	Contract clause	Provider settings
Copyright in sources and student IP	Med	Med	Licence review; store minimal source text	Counsel review	Source ID logging
Data security breach	High	Low-Med	Baseline controls; testing	Breach protocol (72-hour reporting is discussed in secondary DPDP summaries [NOT VERIFIED])	Monitoring; backups

Qualified legal counsel is required for DPDP applicability, database licensing, student IP and university-statute questions.

Part M. Competitive Landscape

Only genuinely relevant firms are listed. Where reliable sources were not found, the row says so. Pricing is public only where stated.

Company / tool (country)	Customer	Product / features	Pricing	Strength (+) / weakness (-)	Overlap; threat
Harvey (US (Singapore, Sydney presence))	Law firms; law schools	General legal AI; gives NUS Law, Sydney, UTS free access [FACT][S12]	Not public [NOT VERIFIED]	+ Firm adoption; brand; free law-school access - Not an Indian assessment/analytics layer as far as found [NOT VERIFIED]	Student familiarity; AI tooling; threat: Med (mindshare, not product)
SCC Online (AI Pro / research assistant) (India)	Lawyers, firms, universities	Human-led AI research on SCC database [CO. CLAIM][S14][S15][S16]	Not public [NOT VERIFIED]	+ Content; installed base - Research focus; no assessment workflow found [NOT VERIFIED]	Citation/authority verification; threat: High if they extend
Manupatra AI (India)	Firms, corporates, institutions	AI research on database [CO. CLAIM][S16][S17]	Demo-based; not public [S17]	+ Database depth - Same as above	Verification; threat: High if they extend
CaseMine (AMICUS) (India)	Lawyers	AI research and citation analysis [CO. CLAIM][S16][S17]	Freemium/tiers [CO. CLAIM]	+ India-first AI - Research focus	Verification; threat: Med
NYAI (India)	Enterprises, firms	Citation-backed research, drafting [S18]	Not public	+ Funded (USD 1.5M seed, Aug 2026) - Enterprise focus	Verification tech; threat: Low-Med

Company / tool (country)	Customer	Product / features	Pricing	Strength (+) / weakness (-)	Overlap; threat
Turnitin / Gradescope (US)	Universities	Similarity, feedback, grading workflow [S10][S11]	About USD 1.79-6.50 per student (US) [EST][S10]	+ Installed base; LMS integration - Not law- or India-specific	Assessment workflow; threat: Med-High (could add rubric AI)
Moodle / Canvas / institutional LMS (Global)	Universities	Assignments, grading, rubrics	Not researched [NOT VERIFIED]	+ Already installed - No legal verification	Assessment workflow; threat: Med
ChatGPT / Claude / Gemini (US)	Anyone	Rubric-prompted feedback feasible [S9]	Subscription	+ Ubiquity - No governance, records or verification against sources	Feedback; threat: High (substitute)
FIRACsuite (Not verified)	Students	AI exam feedback (FIRAC) [CO. CLAIM][S25]	Free options	+ Student-side - Consumer, not institutional	Feedback; threat: Low
UBC Judicial Interrogatory Simulator; VdA AI.Moot Court (Canada; Portugal)	Law schools; students	Moot simulation and AI-enabled competition [S29][S30]	n/a	+ Show that universities build or run AI moots - Not products for India	Moot module; threat: Low
MootMind, DraftMate, Allegal, SIMple, AllRise, LawSikho (India (as described in brief))	Not verified	Not independently verified: no reliable source found in this pass [NOT VERIFIED]	Not verified	+ n/a - n/a	Must be checked by direct research; threat: Unknown - treat as open risk

Part N. Competitive Gap Map

Y = evidenced capability; P = partial or claimed; - = not found; ? = not verified. Basis: desk research only [INFER].

	Research	Drafting	Moot	Viva	Assessment	Analytics	Faculty workflow	Institution focus
Harvey	Y	Y (practice)	-	-	-	-	P	P
SCC Online AI / Manupatra AI	Y	P	-	-	-	-	-	P
CaseMine	Y	P	-	-	-	-	-	-
Turnitin / Gradescope	-	P	-	-	Y	P	Y	Y
LMS (Moodle/Canvas)	-	-	-	-	P	P	Y	Y
General LLM chat	P	P	P	P	P (self-built)	-	-	-
FIRACsuite	-	-	-	-	P	-	-	-
University moot tools	-	-	P	-	-	-	-	P
MootMind / DraftMate / others	?	?	?	?	?	?	?	?
LexSkill AI (proposed)	-	P	-	-	**Y**	**Y**	**Y**	**Y**

White space

What appears underserved: a **faculty-controlled, institution-level assessment, verification and analytics workflow for Indian law schools**. Caveats: (1) it is white space by desk research, not proof of demand; (2) incumbents with content and distribution could enter; (3) LMS or Turnitin-type vendors could add law-specific rubric AI; (4) several named Indian tools were not verified.

Part O. Why LexSkill? Why Not ChatGPT, an LMS or Building In-House?

Alternative	What a university can do with it	What it does not provide	Honest assessment
ChatGPT / Claude / Gemini	Rubric-prompted feedback; the US study used off-the-shelf models [S9]	Faculty workflow, calibration, audit trail, source-grounded verification, data controls, records	Strong substitute for an individual professor. LexSkill only wins on institutional governance, not intelligence [OPINION]
Moodle / Canvas / current LMS	Assignment submission, rubrics, grades	Legal verification; AI evaluation; skills analytics	Integration matters; LexSkill must plug into it or be seen as duplicate [INFER]
SCC Online / Manupatra	Research and increasingly AI research [S14][S16]	Assessment workflows and analytics	Could add these; biggest strategic threat and also a potential partner or acquirer [OPINION]
Existing legal-tech platforms	Drafting or research help	Teaching-assessment governance	Different customer
Internal development	Custom build (e.g., UBC moot tool [S29])	Ongoing engineering, maintenance, calibration	Feasible for a few large NLUs; unrealistic for most institutions [INFER]

The strongest honest case. LexSkill is valuable if institutions want a governed record of practical-skill assessment, not just AI feedback. If they only want AI feedback, free tools suffice and the business fails [OPINION].

Part P. MVP: 60-90 Days for Four Founders

Feature	User	Problem	Function	Complexity	Est. person-days
Auth, roles, tenancy	All	Access control	Login, roles, institution isolation	Low-Med	6
Assessment builder	Faculty	Set tasks	Task text, deadline, mode	Low	5
Rubric editor + templates	Faculty	Encode marking criteria	Criteria with band descriptors	Med	6
Submission editor / upload	Student	Submit work	Editor with revision log; DOCX upload	Med	6
Evaluation engine	Faculty	First-pass marking	Structured LLM scoring with evidence quotes	Med-High	10
Citation extraction + verification (narrow: SC judgments and central statutes)	Faculty	Fake citations	Extract, look up, compare, label	High	14
Faculty review workspace	Faculty	Efficient review	Side-by-side, accept/edit/override, time log	Med	9
Calibration tool	Faculty, us	Trust	AI vs faculty agreement per criterion	Med	5
Student skill profile (basic)	Student	Progress record	Finalised results by skill	Low	4
Institutional dashboard (basic)	Dean	Cohort view	Aggregates with sample sizes	Med	6
Audit log; report export	Admin, Dean	Accountability	Immutable log; PDF/CSV export	Low-Med	5
Security baseline; deployment	All	Trust	Encryption, backups, monitoring	Med	6
Total					**82**

82 person-days is about 41 working days for two full-time engineers; with founders new to production software, add a 1.5x factor: **plan 60-90 days, not 30** [ASSUMP]. A 30-day version is only credible as a clickable prototype using synthetic data for the validation phase.

Category	Items
Must have	Drafting assessment, rubric, AI evaluation, citation check, faculty review, audit log, basic profile and dashboard
Nice to have	LMS integration (LTI), regional-language rubrics, formative practice mode, rubric library, PDF report templates

Category	Items
Do NOT build	Viva, moot and interview simulations, placement scoring, mobile app, plagiarism engine, multi-jurisdiction law, speech, marketplace, student-facing chatbot

Part Q. Product Roadmap

Window	Product	Customers	Technology	Team	Revenue milestone
0-30 days	Clickable prototype; rubric and 2 sample tasks	15-20 interviews; 3+ pilot commitments	Synthetic-data demo; test AI on sample drafts	4 founders	Rs 0
30-60 days	MVP build (drafting, review, verification v1)	Pilot agreements signed (2-3)	Core services; verification against official sources	+1 contract engineer if funded	Rs 0
60-90 days	Pilot release; calibration	2-3 pilots running	Monitoring; security review	Founders	Paid pilot fee (Rs 0-0.5 lakh each) [ASSUMP]
3-6 months	Fixes; report v1; research-assessment prototype	Convert 1-2 pilots to paid	Cost metering; LMS integration study	Founders + 1 hire	First contracts
6-12 months	Second course/programme; reporting templates	3 paying (base case)	Hardening; DPDP readiness before 14 May 2027 [FACT][S3]	5 people (base)	ARR about Rs 9 lakh (base)
Year 2	Second skill only if evidenced; integrations	12 customers (base)	Scale infra; source partnerships	8 people	ARR about Rs 48 lakh (base)

Part J. Market Size

Inputs and their reliability

Input	Value	Status / source
Law colleges and law universities	1,700 (Parliamentary committee) to about 2,000 (secondary)	Lower bound [FACT][S1]; upper bound Not independently verified [S22]
National Law Universities	About 26 (reported range 23-28 depending on definition)	Sources conflict [S23]; shown as range
Law universities registered in AISHE 2021-22	19 (of 1,168 universities)	[FACT][S2]
Private / government / semi-government split	About 1,055 / 335 / 110	Not independently verified [S22]; totals about 1,500, not reconciled with 1,700
Law students enrolled	About 4-5 lakh	Not independently verified [S22]; AISHE law-specific figure not extracted
Moratorium on new BCI approvals (2025)	Reported	Not independently verified [S22]
Relevant higher-education / technology procurement spend for law	Not found	No reliable figure; not estimated

Definitions (all assumption-based)

- **TAM**: every law college pays one licence: 1,700 to 2,000 institutions [EST].
- **SAM**: institutions realistically able to buy an AI assessment tool: NLUs (26) + established private law schools/university law departments (assume 200; range 150-250) + other institutions with digital readiness and budget (assume 175; range 125-325) = **about 400 (range 300-600)** [ASSUMP]. This is judgement, not data.
- **SOM**: institutions obtainable in three years by four founders: 8 (worst), 30 (base), 70 (aggressive) paid institutions, from Part W [ASSUMP].

The arithmetic

Value (Rs crore) = institutions x ACV (Rs lakh) / 100. Example: 1,700 x Rs 2 lakh = 3,400 lakh = Rs 34 crore.

ACV	TAM at 1,700 (Rs Cr)	TAM at 2,000 (Rs Cr)	SAM at 300	SAM at 400 (base)	SAM at 600	SOM at 8	SOM at 30 (base)	SOM at 70
Rs 2L	34.0	40.0	6.0	8.0	12.0	0.2	0.6	1.4
Rs 5L	85.0	100.0	15.0	20.0	30.0	0.4	1.5	3.5
Rs 10L	170.0	200.0	30.0	40.0	60.0	0.8	3.0	7.0
Rs 20L	340.0	400.0	60.0	80.0	120.0	1.6	6.0	14.0

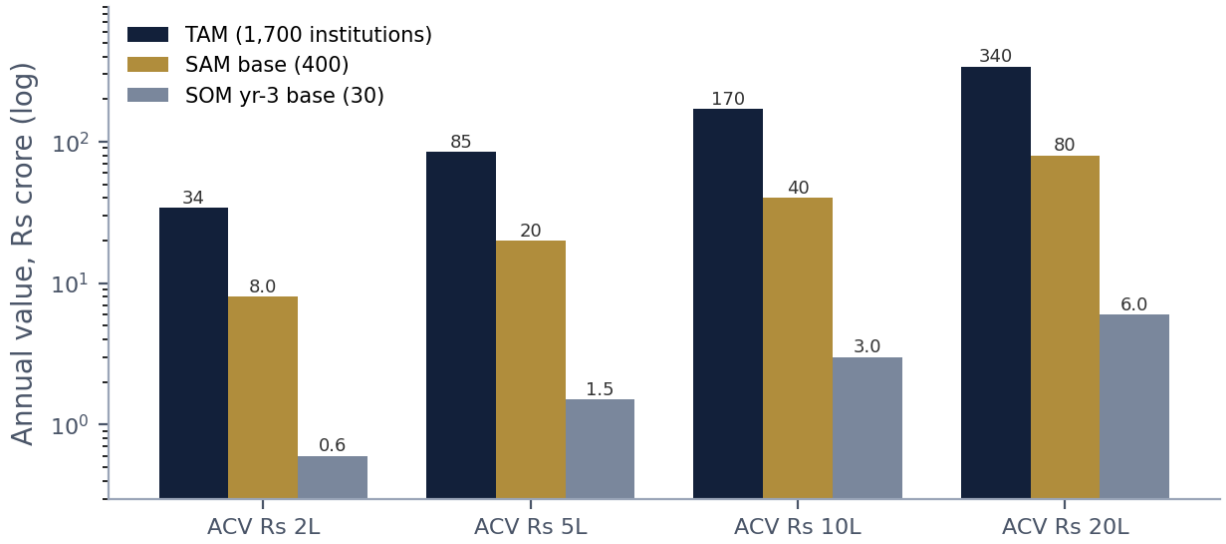


Chart: log scale. TAM at Rs 10-20 lakh is theoretical: most law colleges cannot pay such prices.

Reality check by student count
If about 4.5 lakh students [NOT VERIFIED][S22] each paid Rs 200-500 a year (near the higher end of US Turnitin-type prices converted at an assumed Rs 88/USD [EST][S10]), the entire national pool would be Rs 9-22.5 crore. That is smaller than the Rs 34 crore institution-based TAM at Rs 2 lakh and shows that the Indian institutional market is a Rs 10-40 crore opportunity at best [INFER].

Part K. Customer Analysis

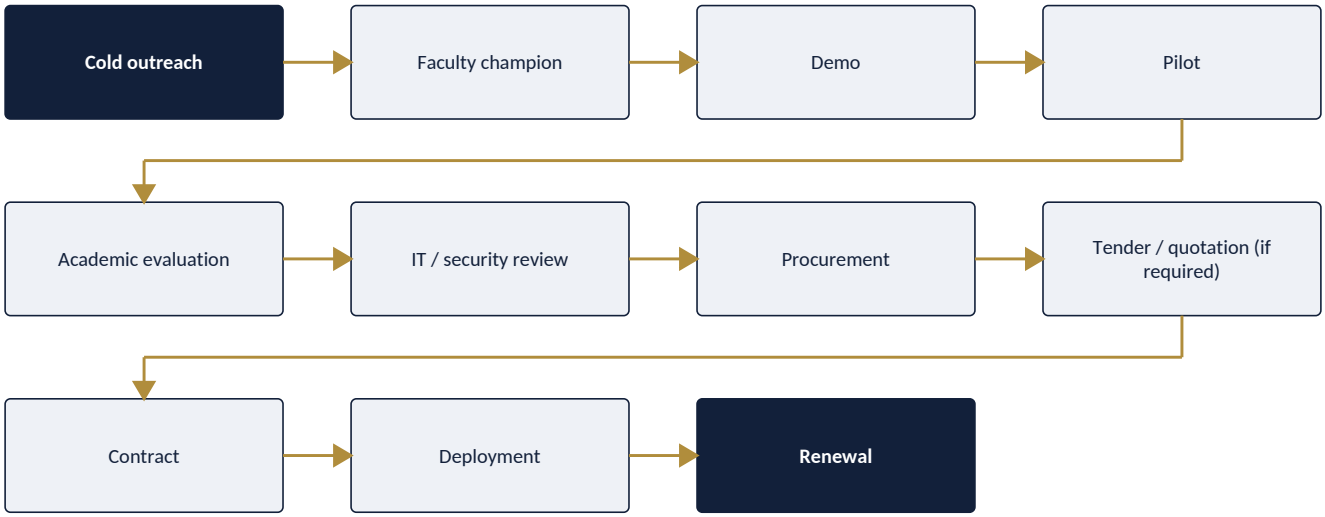
Role	Pain	Authority	Budget	Influence	Usage	Objections
Student	Late feedback	None	None	Low	High	Privacy; fear of AI grading
Faculty	Marking load; consistency	Academic content	None	High (adoption)	Daily	Distrust; extra work; job fear
Department head	Standards; workload	Course design	Small	High	Weekly	Autonomy; cost
Placement director	Readiness evidence	None over academics	Small	Med	Seasonal	Validity; no time
Dean	Outcomes; reputation; accreditation	Academic policy	Some (private)	Very high	Monthly	Justify to management; risk
Registrar	Compliance; records	Administrative	Controls budgets	High	Low	Data protection; process
Vice-Chancellor / management	Rankings; efficiency	Final	Yes	Decisive	Low	ROI; risk
IT department	Security; integration	Technical veto	No	High (blocker)	Setup	Security; vendor risk; DPDP
Procurement / purchase committee	Rules compliance	Process	Executes	Gatekeeper	None	Tender rules; L1 pricing
University management (private)	Brand and admissions	Final	Yes	Decisive	Low	Cost; differentiation

Buying role	Most likely person	Note
User	Faculty; students	Adoption depends on faculty
Champion	Faculty in clinical/drafting/moot courses, or a Dean	Needed to start a pilot
Economic buyer	Dean/Director (private); Registrar/finance (public)	Budget holder [INFER]
Decision maker	VC / management (private); statutory bodies (public)	[INFER]
Procurement gatekeeper	Purchase committee / Registrar / finance office	[INFER]
Blocker	IT/security, data-protection reviewers, sceptical faculty, examination controller	[INFER]

Roles are inferences from general university governance; not verified by interviews [NOT VERIFIED].

Part L. Procurement Flow

Selling to an institution



Buyer type	Route	Realistic cycle [ASSUMP]	Key barrier	How to sell
Private law university	Dean/Director plus management approval; quotation	4-9 months	Budget cycle; management ROI	Outcome evidence, brand differentiation, paid pilot
NLU (state-established)	Vice-Chancellor, executive council; state or institutional purchase rules; may need quotation/tender [NOT VERIFIED]	9-18 months	Committees; procurement rules; slow budgets	Faculty-led pilot; research collaboration; low-value entry
Government law college	Directorate / state procurement; small purchases often via e-marketplace [NOT VERIFIED]	12-24 months	Tender and L1 pricing; low budgets	Avoid initially
University law department	University purchase system; department budget small	6-12 months	Department cannot sign alone	Via department head plus registrar

Public procurement rules. For central ministries and autonomous bodies, GFR 2017 Rule 149 makes purchases on GeM mandatory for listed common-use goods/services; the 2023 text allows direct purchase up to Rs 25,000 and lowest-price purchase up to Rs 5 lakh, with bidding above [FACT][S7]. An August 2024 amendment is reported to have raised these to Rs 50,000 and Rs 10 lakh [S8]; the sources conflict and the current text must be confirmed. State universities and NLUs may follow state or institutional rules instead [NOT VERIFIED]. A niche service may not be listed on GeM at all; this needs checking [NOT VERIFIED]. **Inference:** a Rs 2-5 lakh contract to a public body will typically need quotations or a bid; selling to public institutions before private ones is inefficient [INFER].

Part R. Business Model Analysis

Model	Pricing	Gross margin	CAC	Revenue	Scalability	Complexity
1 Annual institutional SaaS	Rs 1.5-10 lakh by size	48-57% [ASSUMP] (Part U)	Rs 1.5-6 lakh [ASSUMP]	Predictable	Good	Medium
2 Per-student	Rs 200-500 / student [ASSUMP]	Similar	Similar	Scales with enrolment; billing friction	Good	Enrolment data needed
3 Premium institutional plan	Add analytics, integrations, priority support: +30-50% [ASSUMP]	Higher	Similar	Upsell	Good	Medium
4 SaaS + implementation	Add Rs 0.5-1 lakh onboarding [ASSUMP]	Lower first year	Same	Cash up front	Limited	High (people)
5 Network licensing	Rs 15-25 lakh for multi-campus [ASSUMP]	Better	High, long	Lumpy	Good	High
6 Optional services (rubric design, faculty training)	Time and materials	Low	n/a	Cash but non-scalable	Poor	Medium

Recommendation. Start with Model 1 (tiered institutional SaaS) with a paid pilot credited against the first year and a modest onboarding fee. Per-student pricing is used only as an internal tier calculator: institutions prefer one annual invoice and the difference in economics is small [OPINION].

Part S. Pricing

Researched pricing (comparables)

Product	Price	Note	Status
Turnitin (core plagiarism)	USD 1.79-6.50 per student per year; about USD 3 typical	US procurement examples; Sacra estimate; about Rs 160-570 at assumed Rs 88/USD	[EST][S10]
Turnitin (average per institution)	About USD 11,900 per year	Analyst estimate; about Rs 10.5 lakh at Rs 88/USD	[EST][S10]
Gradescope	USD 4 per student per course section per year	One institution's internal price page	[FACT][S11]
NAAC assessment fee for a law institution	Rs 6 lakh (versus Rs 2 lakh for a general college)	Shows that institutions do spend on outcome evidence; per Parliamentary report	[FACT][S1]
SCC Online, Manupatra, Harvey	Not public	Demo-based; Harvey gives some law schools free access [S12][S17]	Not independently verified

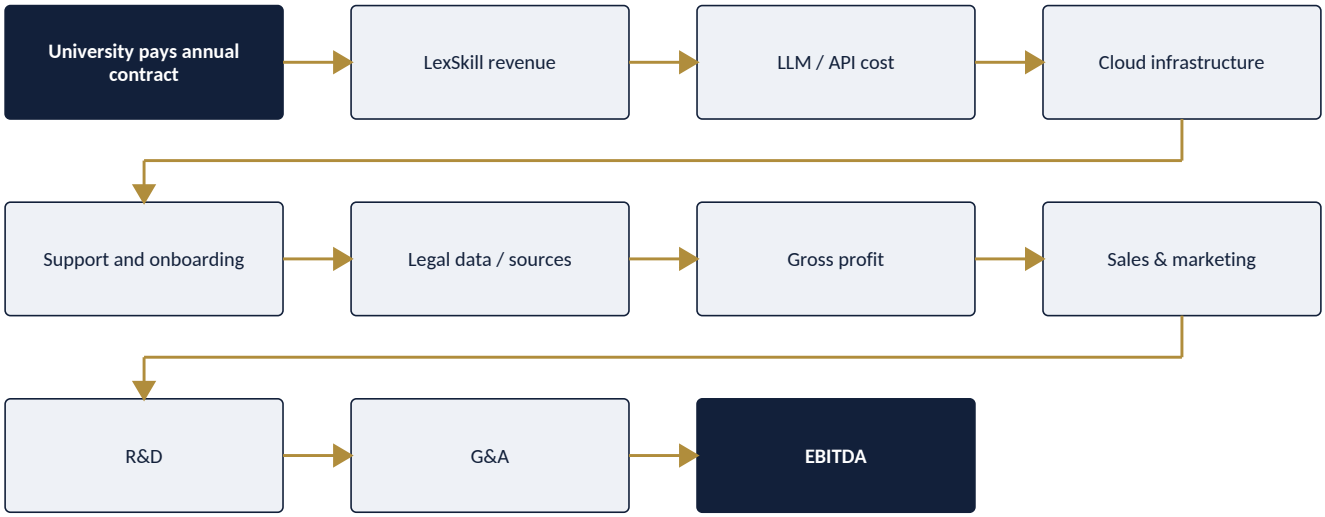
Proposed LexSkill pricing (assumptions, not researched)

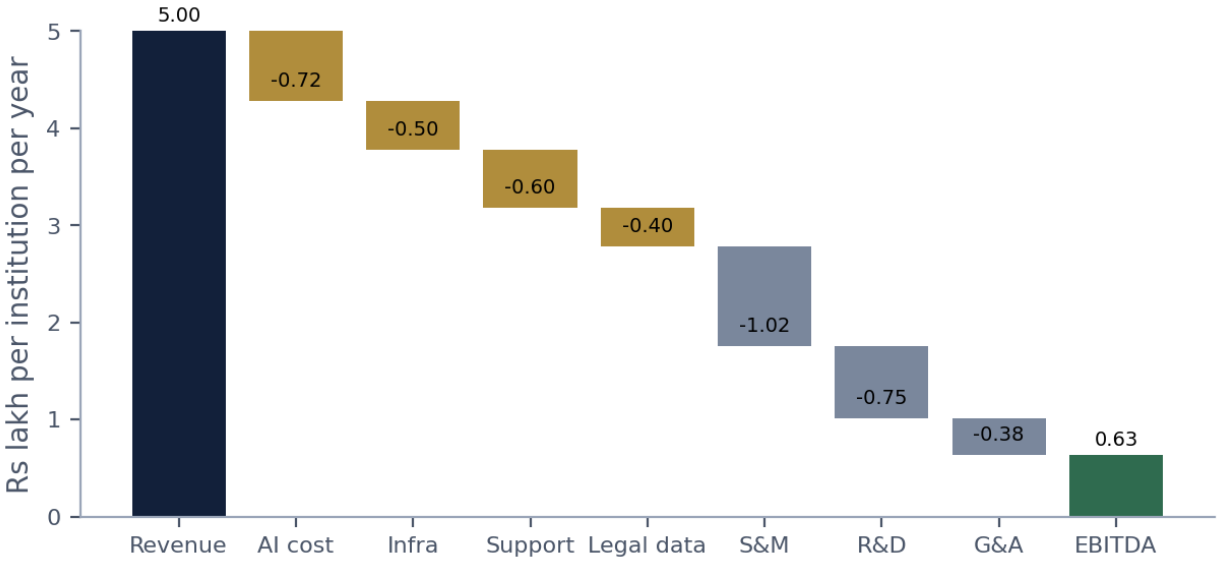
Segment	Students	Proposed annual price	Per student	Basis
Small institution	up to 600	Rs 1.5-2 lakh	Rs 250-330	Below Turnitin high end; thin margin
Medium	600-1,500	Rs 3-5 lakh	Rs 330-500	Core target; matches Part U at Rs 5 lakh (1,200 students)
Large university	1,500-3,000	Rs 6-10 lakh	Rs 330-400	Requires multi-course use and analytics
University network	Multiple campuses	Rs 15-25 lakh	Varies	Long cycle; unproven

Pricing realism. At Rs 5 lakh for 1,200 students, LexSkill is about Rs 417 per student, at the upper end of Turnitin-type prices for a product with far less proven adoption [INFER]. Rs 10 lakh and Rs 20 lakh ACVs are plausible only for large or network buyers and are modelled as scenarios, not expectations.

Part T. Money Flow

Money flow





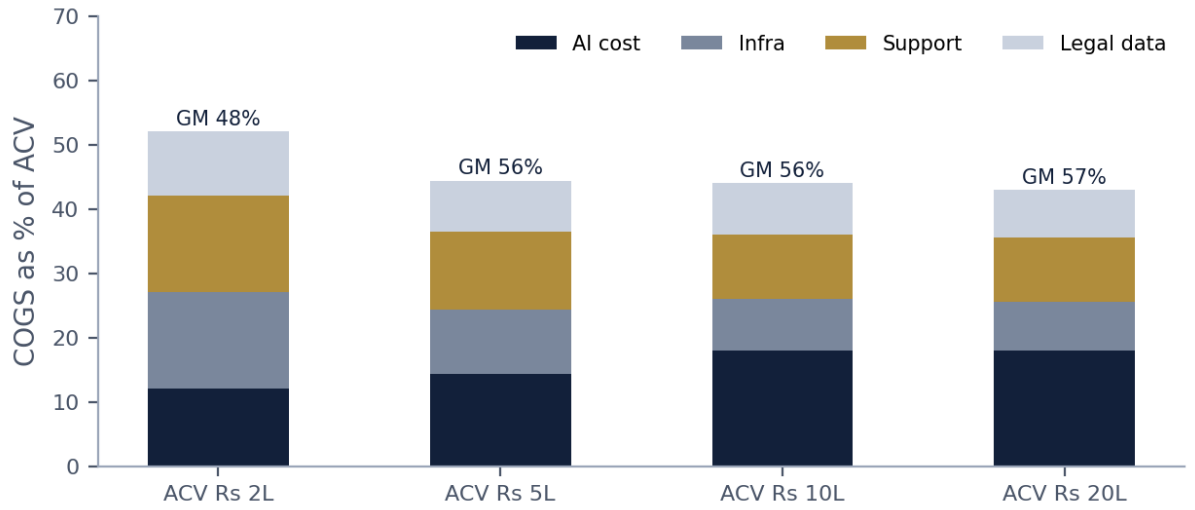
Per institution per year at 250 institutions and Rs 5 lakh ACV [ASSUMP]. *Values derive from the model in Part U/V.*

Line	Rs lakh per institution	% of revenue
Revenue (ACV)	5.00	100%
AI/LLM cost (6,000 evaluations at Rs 12)	0.72	14%
Cloud infrastructure	0.50	10%
Support and onboarding	0.60	12%
Legal data / source access (assumed)	0.40	8%
Gross profit	**2.78**	**56%**
Sales & marketing (30 lakh fixed + 18% of ARR, per institution)	1.02	20%
R&D; (15% of ARR, min Rs 120 lakh)	0.75	15%
G&A; (20 lakh fixed + 6%)	0.38	8%
EBITDA	**0.63**	**13%**

Part U. Unit Economics

All values are ASSUMPTIONS [ASSUMP]: Rs 12 per AI evaluation; churn 20% a year; CAC includes founder time, travel and pilot support; LTV = annual gross profit / churn, undiscounted.

	ACV Rs 2L	ACV Rs 5L	ACV Rs 10L	ACV Rs 20L
Students served (assumed)	500	1,200	2,500	5,000
Evaluations / year	2,000	6,000	15,000	30,000
Revenue (Rs lakh)	2.00	5.00	10.00	20.00
AI cost	0.24	0.72	1.80	3.60
Infrastructure	0.30	0.50	0.80	1.50
Support	0.30	0.60	1.00	2.00
Legal data	0.20	0.40	0.80	1.50
Total COGS	1.04	2.22	4.40	8.60
Gross profit	0.96	2.78	5.60	11.40
Gross margin	48%	56%	56%	57%
CAC	1.50	3.00	6.00	10.00
Year-1 contribution after CAC	-0.54	-0.22	-0.40	1.40
CAC payback (months)	18.8	12.9	12.9	10.5
LTV	4.8	13.9	28.0	57.0
LTV / CAC	3.2x	4.6x	4.7x	5.7x



Reading. Gross margin is 48-57%, well below the roughly 75%+ often expected of software; this is a consequence of AI cost, support intensity and assumed source-access cost [INFER]. Rs 2 lakh contracts barely cover their own acquisition. Reducing AI cost per evaluation, self-serve onboarding, and free official sources would raise margins; none is evidenced yet [ASSUMP].

Part V. Scale Model

Rs lakh; blended ACV Rs 5 lakh; COGS at the Rs 5 lakh gross margin (56%); opex assumptions in Part T [ASSUMP]. 500 and 1,000 institutions exceed the base SAM of 400 and are shown only to display structure; 1,000 is about 50-59% of all law colleges and is not credible [INFER].

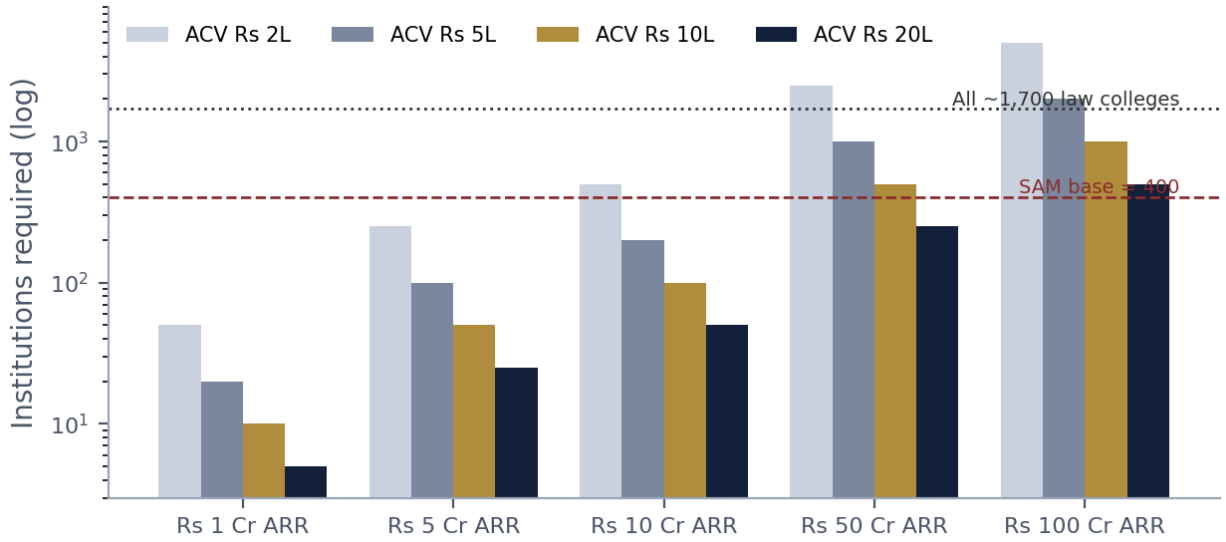
Institutions	ARR (Rs L)	MRR equiv.	Revenue	COGS	Gross profit	S&M;	R&D;	G&A;	EBITDA
50	250	21	250	111	139	75	120	35	-91
100	500	42	500	222	278	120	120	50	-12
250	1,250	104	1,250	555	695	255	188	95	158
500	2,500	208	2,500	1,110	1,390	480	375	170	365

Institutions	ARR (Rs L)	MRR equiv.	Revenue	COGS	Gross profit	S&M;	R&D;	G&A;	EBITDA
1,000	5,000	417	5,000	2,220	2,780	930	750	320	780

Break-even is roughly 100 institutions on these assumptions (EBITDA about -Rs 12 lakh at 100; +Rs 157 lakh at 250) [ASSUMP]. That is about 25% of the base SAM: hard for a four-person team, but not absurd over 4-6 years [OPINION].

Institutions required for ARR targets

ARR target	ACV Rs 2L	ACV Rs 5L	ACV Rs 10L	ACV Rs 20L
Rs 1 crore	50	20	10	5
Rs 5 crore	250	100	50	25
Rs 10 crore	500	200	100	50
Rs 50 crore	2,500	1,000	500	250
Rs 100 crore	5,000	2,000	1,000	500



Is Rs 100 crore ARR realistic?

No, not from Indian law schools alone. It needs 2,000 institutions at Rs 5 lakh (more than all law colleges) or 500 at Rs 20 lakh (above the SAM base and above any evidenced price). Rs 10 crore ARR needs 200 institutions at Rs 5 lakh (half the base SAM). A realistic India-only ceiling is roughly Rs 5-15 crore ARR [INFER]. Anything bigger requires another customer segment or geography.

Part W. Three-Year Financial Model

Rs lakh unless stated. Year-1 revenue assumes contracts start late in the year (35% of exit ARR). Expenses = team size x average loaded cost + non-people costs (cloud, AI, legal counsel, travel). Founders draw minimal pay in year 1. Assumptions only; no false precision [ASSUMP].

Worst case

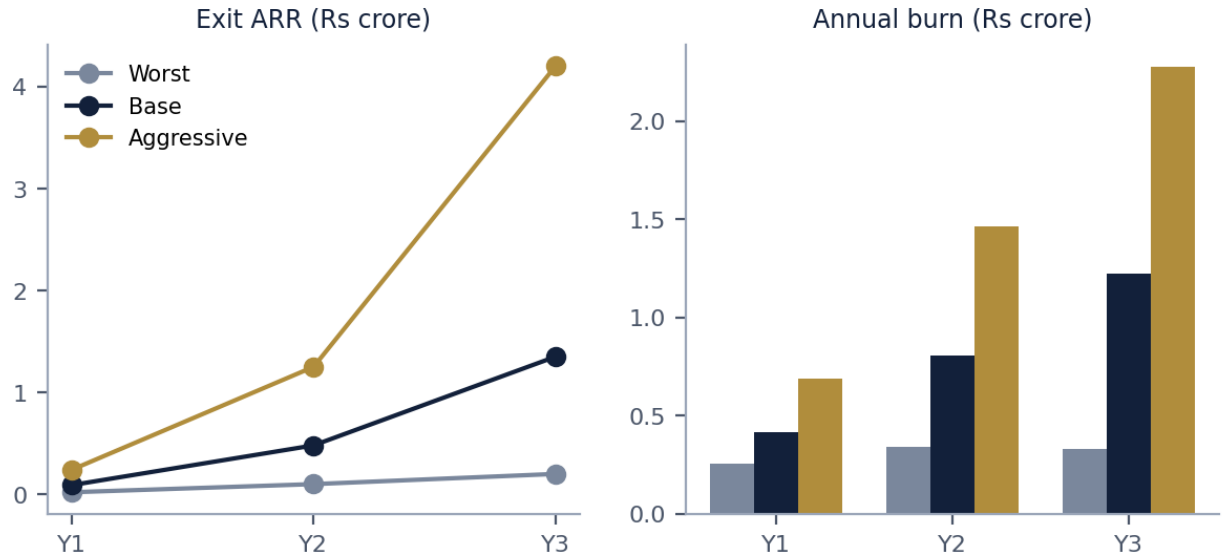
Year	Paid customers (exit)	Avg ACV	Exit ARR	Revenue	Expenses	Burn	Team
Year 1	1	2.0	2	0.7	26	26	4
Year 2	4	2.5	10	6.0	40	34	5
Year 3	8	2.5	20	15.0	48	33	5

Base case

Year	Paid customers (exit)	Avg ACV	Exit ARR	Revenue	Expenses	Burn	Team
Year 1	3	3.0	9	3.1	44	41	5
Year 2	12	4.0	48	28.5	109	80	8
Year 3	30	4.5	135	91.5	214	122	13

Aggressive case

Year	Paid customers (exit)	Avg ACV	Exit ARR	Revenue	Expenses	Burn	Team
Year 1	6	4.0	24	8.4	77	69	7
Year 2	25	5.0	125	74.5	221	146	14
Year 3	70	6.0	420	272.5	500	228	28



Cumulative 3-year burn: worst Rs 93 lakh; base Rs 244 lakh (about Rs 2.4 crore); aggressive Rs 443 lakh (about Rs 4.4 crore) [ASSUMP].

- **Worst:** one paid customer in year 1, slow public-sector sales, minimal team; roughly a founder-funded side project.
- **Base:** 3 / 12 / 30 paying institutions; average ACV rising from Rs 3 to 4.5 lakh; team of 5, 8, 13. Year-3 ARR Rs 1.35 crore is still short of break-even (about 100 institutions).
- **Aggressive:** 6 / 25 / 70; requires strong pilots, 2-3 sales hires and price acceptance of Rs 6 lakh.

Part X. Customer Acquisition

First 10 customers

Step	Detail
Who	Faculty who run drafting, legal writing, moot or clinical courses, and Deans/Directors of private law schools; NLU clinical-programme heads. IIULER Goa (BCI model school) and institutions with legal clinics are natural first conversations [FACT][S1]. No named contacts are asserted here.
How	Warm introductions (alumni, faculty networks, moot-court organisers); short personal emails; LinkedIn; invitations to a 30-minute working session, not a sales demo
What to say	"We are testing whether AI can help you mark drafts faster and check citations, with you in control. We want 20 minutes to learn how you mark today, and if useful, to run a free 30-day pilot on one course."
What to offer	Free supervised pilot with written success criteria; results shared; option to convert to a paid year with pilot credit
Pilot structure	See Part Y
Follow-up	Weekly 15-minute check-in; final report to Dean; written go/no-go
Conversion	Paid annual contract at Rs 2-5 lakh, or a paid pilot fee (Rs 0-0.5 lakh) credited against year 1 [ASSUMP]

From 10 to 500 institutions

Stage	Institutions	Main channel	Realism
0 to 10	10 (includes pilots)	Faculty champions; personal networks	Realistic if pilots convert at least 1 in 3 [ASSUMP]
10 to 50	50	Case studies; referrals; academic partnerships	Plausible over 2-3 years; depends on renewal
50 to 100	100	Webinars; conferences; inside sales	About the break-even point; realistic ceiling for a small team [OPINION]
100 to 500	500	Regional partners; network deals	Exceeds base SAM of 400; not credible without a new segment [INFER]

Channel realism

Channel	Assessment
Dean outreach	Realistic; decisive but slow
Professor partnerships	Most realistic; champions and co-design; co-authored evidence
Moot competitions	Realistic for awareness; not a purchase route
Legal-tech conferences	Medium; expensive relative to CAC
Student ambassadors	Low: students are not buyers and may create data-protection issues
LinkedIn / email	Realistic for discovery; low conversion alone
Webinars	Realistic once case study exists
Academic partnerships	High value: joint validation studies build credibility
Bar associations	Low/unclear; not researched [NOT VERIFIED]

Part Y. Pilot Program

The four-week pilot is specified in the Product Report (Part 13). Success/failure thresholds below are identical in both documents [ASSUMP].

KPI	Definition	Success	Failure
Activation	Faculty and students who log in and submit / review	At least 90% of invited	Below 60%
Completion	Submissions completed and reviewed	At least 85%	Below 60%
Weekly active users	Users active in a week	Tracked	Falling week on week
Faculty time saved	Review with AI vs. unaided marking (timed sample)	At least 30% less with equal or better quality	No saving
AI/faculty agreement	Per criterion vs. human-human agreement on the same sample	At least equal to human-human	Clearly below
Citation checks	Seeded fake citations detected	All	Any missed
Satisfaction (faculty, student)	5-point survey	At least 4.0 faculty; majority student positive	Below 3.0
Assessment improvement	Faculty judgement of feedback quality	Better or equal	Worse
Retention intent	Written intent or paid extension	Written commitment	Verbal only

Part AB. Pitch to an NLU Dean / Vice-Chancellor

30 seconds. "Your faculty mark drafts and memorials by hand; you cannot compare skills across sections or show a review team how the batch is developing. LexSkill AI prepares a first-pass evaluation and checks every cited authority; your faculty make the decisions; you get cohort-level skill reports. We propose a 30-day pilot with pre-agreed criteria."

2 minutes. Add: "Courts now treat fake AI citations as misconduct [S4]. The Parliamentary Standing Committee wants more practical training and legal-tech exposure [S1]. The platform supports supervised, process-tracked and open-book-with-disclosure modes, with every AI output logged. We do not train AI on your data. Data protection is designed for the DPDP Rules that take full effect on 14 May 2027 [S3]. We are not asking you to change who holds

academic authority."

5 minutes. Add: the demo (PDR Part 15); pilot design and metrics; what you must provide (a champion, one course, one cohort); pricing (Rs 2-5 lakh a year after the pilot, credited); explicit limits (not a legal database; faculty finalise all marks; Indian-calibration study included). Evidence to be candid about: AI-marking agreement is proven in US exams, not yet in Indian drafting [S9]; the pilot will test it. On accreditation: the platform can produce outcome evidence, but does not itself change NAAC or NIRF outcomes [OPINION].

Part AC. Law-Firm Product (Future, Separate)

A future product could give law firms a structured view of trainee or recruit skills in research, drafting, reasoning, communication and interviewing, using the same rubric and verification engines. **This report does not claim it can predict job performance**: no evidence was found that assessment scores predict performance in Indian law firms [NOT VERIFIED]. Design constraints: separate product, separate data; explicit candidate consent; no automated hiring decisions; audit of adverse impact; legal review under DPDP; firms' own rubrics. Firms already adopt Harvey and other AI [S16]; the wedge would be trainee skills development, not recruitment ranking. Priority: not before institutional validation [OPINION].

Part AD. Investor Pitch (Honest Version)

Element	Content
Problem	Practical legal skills are required but hard to assess consistently; fake AI citations are now professional misconduct [S4]
Solution	Faculty-controlled AI assessment, verification and skills analytics for law schools
Why now	Judicial focus on AI citations; law schools reworking assessment [S13]; DPDP compliance date May 2027
Market	About 1,700-2,000 colleges; realistic SAM about 400; Rs 8-20 crore at Rs 2-5 lakh [EST][ASSUMP]
Product	Drafting assessment MVP in 60-90 days
Competition	Research databases adding AI; Harvey giving free access abroad; LMS/Turnitin; general LLMs
Business model	Annual SaaS, paid pilots; 48-57% gross margin (assumed)
Moat	Potential in longitudinal, calibrated, faculty-approved assessment data and workflow; today weak (Part AE)
Traction required before seed	3+ paying institutions, renewals, measured time savings; 12-24 months away
Financials	Base case 30 institutions and Rs 1.35 crore ARR in year 3; break-even at about 100
Funding	Rs 1.5-2.5 crore pre-seed after validation; cumulative base burn about Rs 2.4 crore

Investor fit warning: an India-only ceiling of Rs 5-15 crore ARR may not suit venture-scale return requirements [OPINION].

Part AE. Moat Analysis

Source	Classification	Reason (skeptical)
Assessment dataset	Potential strong (long term)	Requires scale, consent and IP clarity; institution owns student data; cannot be assumed
Faculty rubrics	Medium	Sticky if embedded; but rubrics are faculty-owned and portable
Institution integrations	Medium	LMS/SSO integration raises switching cost slightly
Curriculum mapping	Medium	Useful for NAAC-type reporting; copyable
Skill taxonomy	Weak	Easy to copy; BCI or academics may publish their own
Evaluation engine	Weak	Models are commoditised; edge is calibration, not model
Longitudinal student data	Potential strong	Only if institutions keep using it for years and consent/retention terms allow
Institutional workflows	Medium	Approval workflows and audit trails embed in academic processes
Brand / trust with faculty	Potential strong	Built through accurate, transparent behaviour; slow
Network effects	Weak	Cross-institution benchmarking would need pooled data; privacy and competition make it hard

Verdict. Today there is no moat. Defensibility could come from trust, embedded workflows and longitudinal calibrated data, all of which take years [OPINION].

Part AF. International Expansion

Market	Evidence found	Assessment
Singapore	Three law schools reforming assessment toward closed-book/oral; NUS Law restricting first-year AI tool use [FACT][S13]; Harvey partnership with NUS Law [FACT][S12]	Small market; incumbent free access; integrity theme aligns. Not recommended now
Australia	Harvey partners with Univ. of Sydney and UTS [FACT][S12]	Same. Not recommended now
UK	SQE1 pass rate 41% in July 2025 [FACT][S26]; law school assessment overhaul [S27]	Assessment pressure is real; regulated SQE route; crowded training providers [NOT VERIFIED]. Not recommended now
UAE	Not researched [NOT VERIFIED]	No basis to recommend
USA	Peer-reviewed grading study and US practice debate [S9][S28]; large market with strong vendors	Best proof, but competitive and needs local content. Not recommended now

Legal education structure, regulation, pricing and localisation for these markets were not researched in depth in this pass. Do not expand before Indian validation [OPINION].

Part AG. Funding

Stage	Amount	When	Notes
Bootstrap	Rs 5-10 lakh (founders)	Validation and prototype	Cheapest; keeps optionality
Angel / accelerator	Rs 50 lakh-1 crore [ASSUMP]	After signed pilots	Family offices and angels back Indian legal-AI seeds (e.g. NYAI, USD 1.5M, Aug 2026 [FACT][S18])
Accelerator	Program-dependent	Idea stage or after pilots	Antler India describes a residency and pre-seed model and a USD 75M fund [FACT][S19]; a claimed INR 4 crore AI programme seed comes from an aggregator [CO. CLAIM][S20]
Seed VC	Rs 4-15 crore [ASSUMP]	Only with paying institutions and renewals	India-only ceiling may not match VC expectations [OPINION]

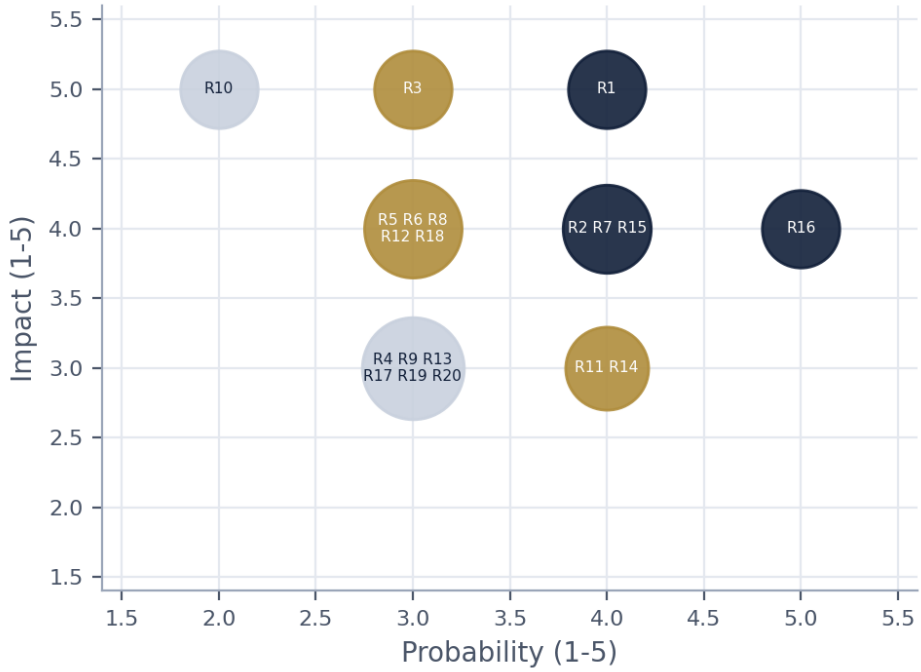
Recommended sequence: bootstrap through validation; small angel/accelerator round after 2-3 signed paid pilots; seed only if base-case traction is beaten. No claim is made that any named investor is interested. Investor focus areas were checked only through secondary sources; official investor pages must be reviewed before outreach [NOT VERIFIED]. Non-dilutive grants were not researched [NOT VERIFIED].

Part AH. Founder Structure

Founder	Responsibilities	90-day objectives	KPIs	Hiring need	Decision authority
1 CTO	Architecture; evaluation engine; verification; security	MVP live; calibration tool; seeded-citation test suite	Uptime; test pass rate; cost per evaluation	1 backend/ML engineer at month 4-6	Technology, vendor and model choices
2 Product / academic	Rubrics; faculty co-design; pilot evidence	20 interviews; 3 rubrics; pilot protocol	Faculty time saved; agreement	Academic advisor (part-time)	Rubrics, product scope
3 Sales / business	Institution relationships; procurement; contracts	3 pilot agreements; 1 paid LoI	Pilots signed; pipeline	Sales associate (year 2)	Pricing and contract terms within agreed bands
4 Growth	Content, webinars, case studies, partnerships	Landing page; 2 webinars; 1 co-authored study	Qualified leads; webinars	Content freelancer	Marketing spend within budget

Part AI. Top 20 Failure Risks

#	Risk	Prob. (1-5)	Impact (1-5)	Early warning	Mitigation
R1	No willingness to pay	4	5	Pilots refused; praise without commitment	Validation before build; paid pilots
R2	Long procurement	4	4	Pilots stall in committees	Start with private institutions; small entry price
R3	AI accuracy	3	5	Low agreement; faculty override rate high	Calibration gates; criterion switch-off
R4	Faculty resistance	3	3	Low review completion	Co-design; faculty control; transparent logging
R5	Student engagement	3	4	Low completion	Formative value; supervised tasks
R6	Existing incumbents	3	4	SCC/Manupatra announce assessment features	Partner-first; stay in workflow layer
R7	ChatGPT substitution	4	4	Faculty use free tools with rubrics	Sell governance, records, verification
R8	Privacy	3	4	Institution IT/counsel objections	DPDP-ready design; DPA; minimisation
R9	Copyright	3	3	Source licence disputes	Counsel review; official sources first
R10	Data security	2	5	Pen-test findings; incident	Baseline controls; testing before pilots
R11	High CAC	4	3	Payback beyond 18 months	Referral, partnerships, low-touch onboarding
R12	Low renewal	3	4	Usage drops after term 1	Report value to Dean; embed in courses
R13	Commoditisation	3	3	Price pressure toward per-student minimums	Differentiate through calibration and records
R14	Customisation demands	4	3	Each college wants custom rubrics/workflows	Template libraries; configuration not code
R15	Founder execution	4	4	MVP slips beyond 90 days	Narrow scope; weekly milestones; advisor
R16	Small Indian TAM	5	4	SAM interviews suggest fewer buyers	Plan for niche profitability; test adjacent segments
R17	Regulatory change (BCI AI norms, DPDP)	3	3	BCI committee guidelines released	Track BCI; design for stricter norms
R18	Poor outcomes (no time saving)	3	4	Time savings under 30% in pilot	Stop or pivot per Part AK
R19	Procurement barriers (tender, GeM)	3	3	Requirement for tender for small value	Private first; partner resellers later
R20	International competition (Harvey free access)	3	3	Harvey launches India law-school programme	Focus on Indian assessment workflow



Probability and impact are the authors' judgement [OPINION], *not measured.*

Part AJ. Red Team: The Hostile VC

Question	Answer
1 Why will this fail?	Institutions may treat marking pain as tolerable, faculty adopt free AI on their own, and the small market cannot fund an enterprise-style product.
2 Why won't universities pay?	Budgets go to accreditation, infrastructure and databases. A Rs 3 lakh line item needs a champion and a measured saving. No institution has yet said it would pay [NOT VERIFIED].
3 Why won't faculty use it?	Extra system; distrust of AI marks; fear of exposure of inconsistent marking; no incentive to save time they are not paid for.
4 Why won't students use it?	Students use free AI already; graded use invites integrity anxiety; value is in faculty-released feedback, which is slow.
5 Why won't universities build it?	Some large NLUs could (UBC built its own moot tool [S29]); most lack engineers. That leaves the mid-tier as the market, which has the least budget.
6 Why won't ChatGPT replace it?	It may for individual professors [S9]. It cannot provide institution-wide governance, records and verification unless a vendor builds it around it.
7 Why can't SCC/Manupatra/Lexis build it?	They can; they own the sources for verification and already sell to institutions. Speed and trust with faculty are the only defence [OPINION].
8 Is the market large enough?	For a profitable niche business, yes; for venture scale, no. Realistic India-only ARR ceiling Rs 5-15 crore.
9 Is Rs 100 crore ARR realistic?	No (Part V).
10 Strongest reason not to build	Institutional willingness to pay is unproven while free AI covers the intelligence part of the value.
11 What would change my mind?	3+ signed pilots, at least 1 paid contract, measured 30%+ time savings with faculty-level agreement, and a source-access deal that makes citation verification defensible.
12 Single biggest assumption	That institutions will pay Rs 2-5 lakh a year for a governed assessment layer.
13 How to test in 14 days?	Part AK.

Part AK. 14-Day Validation Experiment

Goal: determine whether institutions will pilot and pay, before building the MVP.

Days	Activity
1-2	Finalise interview guide, clickable prototype using synthetic drafts, 5 sample rubrics (with the Product/academic founder)

Days	Activity
3-10	20 interviews: 10 faculty (drafting/clinical/moot), 6 Deans/Directors/department heads, 2 registrar/IT, 2 placement heads. Target institutions: about 8 private law universities, 6 NLUs, 4 government law colleges, 2 university law departments
5-12	Run "manual pilot": collect at least 10 real anonymised drafts (with permission), have two faculty mark them, run an off-the-shelf model with rubric and compare; time faculty review with and without AI
11-13	Ask for commitments: written pilot agreement; paid letter of intent
14	Decision meeting using the tree below

Interview questions (sample)

- How do you assess drafting and moot work today? How long does it take per student?
- How do you check whether cited cases are real and support the proposition?
- What would you need to see before letting AI prepare first-pass marks?
- Who must approve a pilot? Who must approve a purchase? What budget line would pay for this?
- Have you used free AI tools for marking or feedback? What happened?
- If this saved 30% of marking time, what would you pay a year? What would make you say no?

Measure	Success threshold	Failure threshold
Interviews completed	At least 20	Fewer than 12
Institutions agreeing to pilot in writing	At least 3	0-1
Paid letter of intent (at least Rs 1 lakh)	At least 1	0
Faculty time saving on real drafts	At least 30% with equal quality	Under 10% or lower quality
AI-faculty agreement on rubric criteria	Comparable to two faculty markers	Clearly below

Decision tree

Outcome	Decision
At least 3 pilots AND at least 1 paid intent AND time saving shown	**Continue:** build the 60-90 day MVP
Concept liked; nobody will pay	Change customer (e.g., Deans/management, exam-preparation firms), price or product; re-test in 14 days
Institutions interested; faculty see no value	Pivot to citation-verification-only for training or to a different buyer; or stop
AI-faculty agreement poor on Indian drafts	Narrow to citation verification and formative feedback; do not market scoring
Neither faculty nor institutions engage	**Stop**

Part AL. Legal and Ethical Positioning

LexSkill AI is not a law firm, does not give legal advice, is not a replacement for faculty or legal databases, is not the final academic evaluator, and is not an automated hiring decision-maker. Institutional policies should state: AI output is a draft; faculty finalise; students may request human re-evaluation; use of AI by students is governed by the course's stated mode. On-screen disclaimers and wording are in the Product Report (Part 11). Legal counsel is required for DPDP roles, database licences, student IP and university-statute questions [NOT VERIFIED].

Part AM. 12-Month Implementation Plan

Month	Product	Customers / ARR (Rs L)	Team	Technology	KPI
1	Validation; prototype	0 / 0	4 founders	Synthetic demo	20 interviews; 3 pilots agreed
2	MVP build (weeks 5-8)	Pilot paperwork	4	Core services	MVP features complete
3	Pilot release	2-3 pilots / 0	4	Monitoring; calibration	Pilot KPIs (Part Y)
4	Iterate on pilot findings	Pilot reports	4	Security review	Agreement, time saved
5	Report v1; DPDP readiness plan	Convert talks	4-5	Cost metering	Paid intent
6	Stabilise	1 paid / 3	5	Source access deal explored	First paid contract
7	Second course rollout	1 / 3	5	Hardening	Usage retained
8	Reporting templates	1 / 3	5	Analytics	Dean report delivered
9	Research-assessment prototype (if evidenced)	2 paid / 6	5	Verification v2	Second contract
10	Case study; webinar	2 / 6	5	LMS integration study	Pipeline 10 qualified
11	Renewal prep	2 / 6	5	Security tests	Renewal indicators
12	Year-1 review	3 paid / 9	5	DPDP compliance work for 14 May 2027 [FACT][S3]	3 paying; go/no-go for year 2

Revenue recognised in year 1 is about Rs 3 lakh (contracts starting in months 6, 9 and 12), consistent with the base case in Part W [ASSUMP].

Part AN. Final Business Thesis

- **Why this business should exist:** because practical legal skills need assessment and record-keeping, and because verifying authorities is now a professional duty [S4].
- **Why now:** courts and law schools abroad are reacting to AI in 2026 [S4][S13].
- **Why us:** unproven; requires an academic co-founder with credibility and an engineer able to ship a careful system.
- **Why institutions:** they are the only buyers with authority over assessment; individuals cannot solve governance.
- **Why AI:** it can produce consistent first reads at low marginal cost when given detailed rubrics [S9].
- **Why not simply ChatGPT:** it lacks governance, verification, records and analytics; it can substitute if institutions do not value those.
- **Why this could become defensible:** trust, embedded workflows and longitudinal calibrated data; years away.
- **Why it could fail:** unproven willingness to pay, procurement friction, a small India-only market and free or incumbent substitutes.

Part AO. Final Classification

VALIDATE FIRST

Evidence supports a real, timely problem in citation verification and a technically feasible narrow product. It does not yet support institutional willingness to pay, and an India-only market appears to cap at a modest scale. The rational next step is a 14-day validation followed by a 60-90 day narrow MVP, with explicit stop/pivot criteria. Not BUILD IMMEDIATELY: no demand evidence. Not PIVOT: nothing yet shows the core idea is wrong. Not DO NOT BUILD: the risks are testable cheaply.

Consistency check

Item	Value used everywhere	Where
Institutions (TAM)	1,700-2,000; SAM base 400 (300-600)	Read First, A, J, V, AD
NLU count	About 26 (range 23-28)	J
ACV scenarios	Rs 2, 5, 10, 20 lakh; core Rs 3-5 lakh	J, R, S, U, V
Gross margin	48% / 56% / 56% / 57%	R, T, U, V, AD
Break-even	About 100 institutions	V, W, AD
Base case	3 / 12 / 30 customers; ARR Rs 9 / 48 / 135 lakh	Q, W, AM, AD
MVP effort	82 person-days; plan 60-90 days	P, AM
DPDP dates	14 Nov 2025, 14 Nov 2026, 14 May 2027	H, AB, AM
Pilot thresholds	30% time saved; 85% completion; agreement at least human-human	Y, AK, PDR Part 13

Known limits of this study: about 17 targeted searches and one full primary-document read; several competitors named in the brief could not be verified; no interviews were conducted; financial figures are scenarios, not forecasts; legal points require counsel.

Source Register

Reliability grades: High = primary/official or peer-reviewed; Medium = reputable secondary; Low = commercial, SEO or aggregator. "Company claim" = independently unverified.

ID	Source	Organisation	Publication / date	URL	Claim supported	Reliability
S1	Strengthening Legal Education in view of emerging challenges before the Legal Profession (142nd Report)	Rajya Sabha Dept-related Parliamentary Standing Committee on Personnel, PG, Law & Justice	Parliament of India report (hosted copy via Bar & Bench); 7 Feb 2024	https://images.assettype.com/barandbench/2024-02/feeb3acd-02a7-419b-b939-16b28a11745e/Strengthening_Legal_Education_in_view_of_emerging_challenges_before_the_Legal_Profession.pdf	BCI-mandated clinical courses (drafting, moot court, ADR, internship); '1700 law schools'; recommendation for large practical component; faculty and infrastructure gaps; NAAC law fee Rs 6 lakh and low accreditation uptake; technology and legal-tech recommendations; BCI/UGC regulatory overlap	High (primary; hosted copy read in full)
S2	All India Survey on Higher Education 2021-22	Ministry of Education, Govt. of India	AISHE report; Released Jan 2024	https://education.gov.in/sites/upload_files/mhrd/files/statistics-new/AISHE%20Book_2021-22_4.pdf	1,168 universities incl. 19 Law universities; 4.33 crore total enrolment; private universities 26.3% of enrolment. Law-programme enrolment not extracted	High (primary)
S3	Digital Personal Data Protection Rules, 2025 (summaries of MeitY notification)	MeitY (notification); SCC Online blog; AMSS Advocates; Mondaq	Gazette notification / law-firm summaries; Notified 14 Nov 2025	https://www.amsshardul.com/insight/enforcement-of-the-dpdp-act-and-notification-of-the-dpdp-rules/	Phased dates 14 Nov 2025 / 14 Nov 2026 / 14 May 2027; verifiable parental consent for children; 90-day grievance timeline; penalty up to Rs 250 crore for security failures	Medium-High (secondary summaries of a primary notification; gazette not read)
S4	Pooja Ramesh Singh v. J&K; Bank Ltd (2026 INSC 668), as reported	Supreme Court of India; reported by Free Press Journal, The Indian Lawyer, iPleaders	News / legal-blog reports of judgment; Reported Jul 2026	https://www.freepressjournal.in/amp/mumbai/supreme-court-declares-zero-tolerance-for-ai-generated-fake-legal-precedents-directs-bar-council-to-act	NCLT/NCLAT orders set aside for fictitious AI-generated citations; citing unverified AI material is misconduct; BCI directed to constitute committee for AI guidelines	Medium (judgment text not read)
S5	Gummadi Usha Rani v. Sure Mallikarjuna Rao (2026), as reported	Supreme Court of India; reported by Free Press Journal, LawSathi	News / legal-blog reports; Feb-Mar 2026 (sources differ)	https://www.freepressjournal.in/amp/mumbai/ai-generated-fake-judgments-under-fire-as-supreme-court-bombay-hc-warn-lawyers	Trial court relied on four non-existent AI-generated judgments; treated as misconduct	Medium (judgment text not read)
S6	AI-Fabricated Precedents: current-affairs explainer (draft Regulations for Use of AI in Courts, 2026; CJI address 11 Jul 2026)	Anantam IAS	Exam-prep explainer; Jul 2026	https://anantamias.com/?p=36522	Existence of draft AI-in-courts regulations under consultation; BCI committee direction	Low-Medium (tertiary; verify against Supreme Court website)
S7	General Financial Rules 2017 (amended up to 31-01-2023), Rule 149	Dept. of Expenditure, Ministry of Finance (copy via IIT Kanpur)	GFR text; 31 Jan 2023	https://www.iitk.ac.in/centralstores/data/GFR-2017_amended_upto_31-01-2023.pdf	GeM mandatory for listed common-use goods/services for central bodies; direct purchase up to Rs 25,000; L1 up to Rs 5 lakh; bidding above	High (primary)
S8	GFR amendment, 1 Aug 2024 (Rule 149 thresholds) and NASSCOM summary	Dept. of Expenditure; NASSCOM community	Amendment / summary; Aug 2024	https://www.iitk.ac.in/centralstores/data/GFR-Amendment-01-08-24.pdf	Reported revision: direct purchase to Rs 50,000; middle tier to Rs 10 lakh. CONFLICTS with S7; confirm current text	Medium (thresholds differ from S7)

ID	Source	Organisation	Publication / date	URL	Claim supported	Reliability
S9	Grading Machines: Can AI Exam-Grading Replace Law Professors? (Cope et al.)	Univ. of Minnesota / Univ. of Chicago; J. of Law & Empirical Analysis vol. 3 (2026)	Peer-reviewed article / working paper (abstract read); 2025-2026	https://scholarship.law.umn.edu/faculty_articles/1208	With detailed rubrics, LLM grades correlated with human graders up to Pearson 0.93 on US top-30 law exams; suitable for feedback and validation, not full replacement	High (abstract only; full paper not read; US exam context)
S10	Turnitin company profile and price benchmarks	Sacra (estimates); CSU/CUNY procurement data as reported	Analyst profile; 2025	https://sacra.com/c/turnitin/	Per-student prices about USD 1.79-6.50; ~USD 11,900 average per institution; ~USD 203M 2024 revenue (estimate)	Medium-Low (analyst estimate; US pricing)
S11	Gradescope licence costs	Franklin & Marshall OIT wiki	University IT page; n.d.	https://franklinoit.atlassian.net/wiki/x/E6CBAQ	USD 4 per student per course section per year at one US institution	Medium-Low (single institution)
S12	Harvey partners NUS Law in Singapore AI education push	CFOtech / ChannelLife Australia	Trade press; 2 Jun 2026	https://cfotech.com.au/story/harvey-partners-nus-law-in-singapore-ai-education-push	Harvey gives NUS Law, Univ. of Sydney Law and UTS Law students/faculty complimentary access	Medium
S13	Three Singapore law schools reform teaching and exam formats	SMU News; Lianhe Zaobao via Singapore Law Watch	News; 3-5 Aug 2026	https://www.singaporelawwatch.sg/Headlines/strengthening-foundational-skills-in-the-ai-era-three-law-schools-reform-teaching-and-exam-formats	NUS Law moving to semi-closed-book exams and restricting first-year AI tool use; SMU adding oral/in-class assessment	Medium-High
S14	SCC Online AI Pro announcement	SCC Online (EBC Publishing)	Company blog; Announced around 26 Jan 2026	https://www.scconline.com/blog/?p=373686	Human-led AI research tool grounded in SCC database, aimed at lawyers/firms	Company claim; independently unverified
S15	SCC Online customer story (Microsoft Azure)	Microsoft India	Vendor case study; FY26	https://www.microsoft.com/en-in/aifirstmovers/FY26SCCOnline	Conversational agentic research platform built on Azure AI	Company claim; independently unverified
S16	AI Tools for Lawyers in India: the 2026 Definitive Guide	iPleaders	Commercial legal-education blog; 5 May 2026	https://blog.ipleaders.in/ai-tools-for-lawyers-in-india-the-2026-definitive-guide/	Landscape: Manupatra AI, CaseMine AMICUS, LegitQuest, VIDUR; SCC Online assistant (4M judgments, 150,000 users, as claimed); Harvey at large Indian firms	Low-Medium (company-reported figures; independently unverified)
S17	Jhana / CaseMine / Manupatra positioning (LawSikho, CaseMine, Bharat.law blogs)	LawSikho; CaseMine; Bharat.law	Vendor / commercial blogs; 2026	https://lawsikho.com/blog/ai-tools-for-lawyers-india	Existence and positioning of Indian legal-AI research tools; Manupatra pricing is demo-based (not public)	Low (vendor content)
S18	NYAI raises USD 1.5M seed	Entrackr / Venture Intelligence / SaaSRise	Trade press; 4 Aug 2026	https://news.ventureintelligence.com/private-equity/legal-tech-firm-nyai-raises-%241.5-m	Recent Indian legal-AI seed round led by family offices and angels; citation-backed research positioning	Medium
S19	Antler expands India portfolio; maiden USD 75M fund	BW Disrupt	Trade press; 2024/25	https://bwdisrupt.com/article/antler-expands-india-portfolio-backs-30-startups-through-its-maiden-75-mn-fund-541146	Antler India residency and pre-seed model; 30 startups in 2024	Medium

ID	Source	Organisation	Publication / date	URL	Claim supported	Reliability
S20	Antler India profile; India investor activity 2025; Indian LegalTech funding statistics	CB Insights (aggregator)	Investor profile; Jan 2026	https://www.cbinsights.com/investor/antler-india	Claimed INR 4 Cr seed via AI programme; India startup funding USD 11bn in 2025 (aggregator); 662 legal-tech companies claim (separate CB Insights page)	Low-Medium (aggregator; independently unverified)
S21	UGC (Promotion of Academic Integrity and Prevention of Plagiarism in HEIs) Regulations, 2018 (via institutional policies)	UGC; MANUU, HBTU, UoU policies	Regulation / policy copies; Jul 2018 (notification dates differ: 23 Jul vs 31 Jul)	https://manuu.edu.in/sites/default/files/Library/MANUU-CodeOfEthics-Research-Publications.pdf	Regulation targets Masters/research work and publications; similarity tiers and DAIP/IAIP panels; AI content not directly addressed	Medium (institutional copies; UGC original not read)
S22	BCI approval for law colleges (guide)	EdHitch	SEO guide; 2025-26	https://www.edhitch.com/bci-approval-law-colleges-india.html	Secondary figures: ~1,700-2,000 colleges; ~1,055 private; ~335 govt; ~110 semi-govt; ~4-5 lakh students; 2025 moratorium on new approvals	Low (SEO source; not independently verified)
S23	How many NLUs are there? (multiple coaching sites)	clatcoachingdelhi.com; megalaw.in; pw.live; shiksha.com	Coaching blogs; 2024-2026	https://clatcoachingdelhi.com/blog/how-many-nlus-in-india/	NLU count reported as 23, 24, 25, 26, 27 or 28 depending on definition	Low (sources conflict; shown as range)
S24	Common Law Admission Test	Wikipedia (Consortium of NLUs data)	Encyclopaedia; 2025	https://en.wikipedia.org/wiki/Common_Law_Admission_Test	CLAT-UG 2025 test takers 72,631 (demand indicator)	Medium-Low
S25	FIRACsuite	Product Hunt listing	Product listing; n.d.	https://www.producthunt.com/products/firacsuite	AI essay feedback (FIRAC) for law students; existence of consumer-side competitor	Company claim; independently unverified
S26	Law students face AI classes after training provider deal (SQE1 pass rate)	The Lawyer	Trade press; 2025	https://www.thelawyer.com/law-students-face-ai-classes-after-training-provider-deal/	SQE1 July 2025 pass rate 41% (England & Wales)	Medium
S27	Leading law school takes on 'AI slop' with assessment overhaul	Legal Cheek	Trade press; May 2025	https://www.legalcheek.com/2025/05/leading-law-school-takes-on-ai-slop-with-assessment-overhaul/	UK law school shifting to oral/skills-based assessment to defend integrity	Medium-Low
S28	Artificial intelligence can be used for grading law school exams, but should it be?	ABA Journal	Trade press; 2026	https://www.abajournal.com/web/article/ai-can-be-used-for-grading-law-school-exams-but-should-it-be	US law professor practice and debate on AI grading	Medium
S29	Judicial Interrogatory Simulator	UBC Emerging Media Lab / Allard School of Law	University project page; 2023	https://eml.ubc.ca/?p=10050	Example of a university-built AI moot tool (internal development precedent)	Medium
S30	AI.Moot Court 2.0	VdA Academia (Portugal law firm)	Competition news; 2025-2026	https://www.vda.pt/en/media/events/aimoot-court-20-winners/28552/	AI-mediated moot competition run by a law firm; shows moot+AI experimentation	Medium
S31	Legalkart / Indian LegalTech funding statistics	CB Insights; DealStreetAsia	Aggregator; 2025-26	https://cbinsights.com/company/legalkart	Claim: 662 Indian legal-tech companies, USD 793M cumulative funding	Low-Medium (aggregator; independently unverified)
S32	Bar Council of India, Rules of Legal Education 2008 (Part IV) - copy	Bar Council of India (copy via KLC)	Rules; 2008	https://klc.ac.in/wp-content/uploads/2020/07/IBR-Rules.pdf	Legal education rules and approved centres; BCI recognises degrees for enrolment	High (primary text; only preface read)